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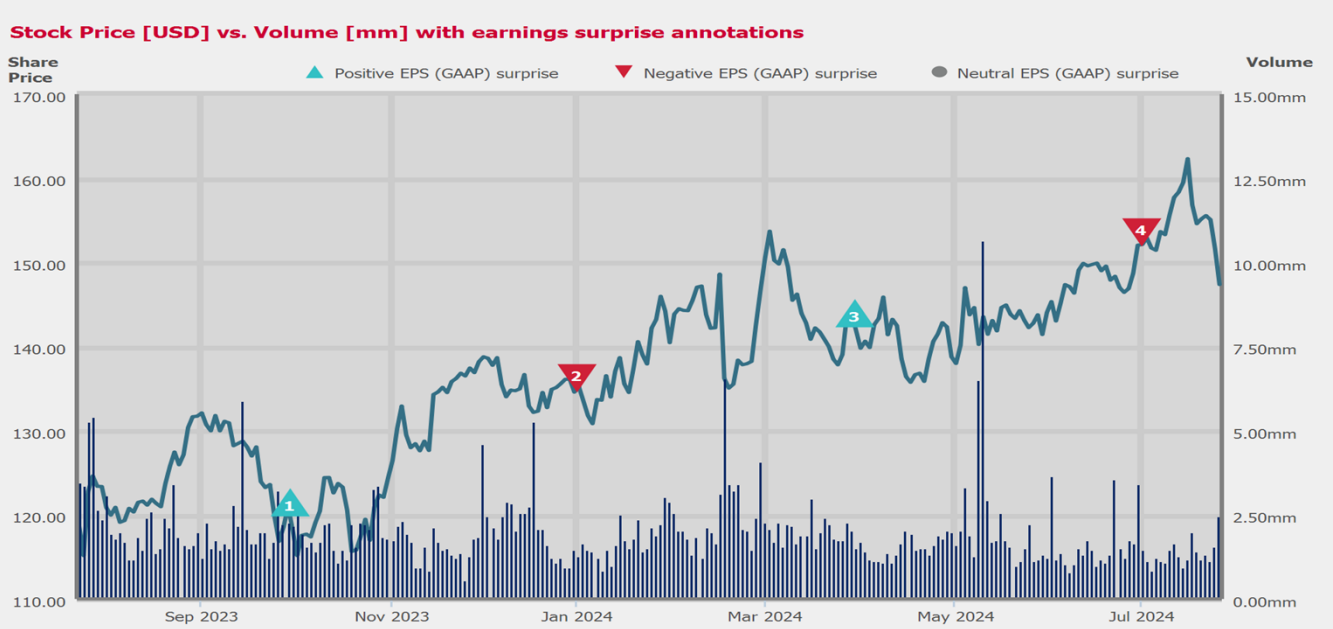
Digital Realty Trust, Inc. NYSE:DLR
FQ2 2024 Earnings Call Transcripts

Thursday, July 25, 2024 9:00 PM GMT

S&P Global Market Intelligence Estimates

	-FQ2 2024-			-FQ3 2024-	-FY 2024-	-FY 2025-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS (GAAP)	0.30	0.20	▼(33.33 %)	0.27	1.71	1.31
Revenue (mm)	1379.63	1356.75	▼(1.66 %)	1418.22	5582.49	6036.09

Currency: USD
Consensus as of Jul-23-2024 10:12 AM GMT



- EPS (GAAP) -

	CONSENSUS	ACTUAL	SURPRISE
FQ3 2023	0.26	2.33	▲1 796.15 %
FQ4 2023	0.25	0.08	▼2 (68.00 %)
FQ1 2024	0.30	0.35	▲3 16.67 %
FQ2 2024	0.30	0.20	▼4 (33.33 %)

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Presentation

Operator

Good day, and welcome to the Digital Realty Second Quarter 2024 Earnings Conference Call. [Operator Instructions] Please note, this event is being recorded.

I would now like to turn the conference over to Mr. Jordan Sadler. Please go ahead.

Jordan Sadler
Senior Vice President of Public & Private Investor Relations

Thank you, operator, and welcome, everyone, to Digital Realty's Second Quarter 2024 Earnings Conference Call. Joining me on today's call are President and CEO, Andy Power; and CFO, Matt Mercier; Chief Investment Officer, Greg Wright; Chief Technology Officer, Chris Sharp; and Chief Revenue Officer, Colin McLean, are also on the call and will be available for Q&A.

Management will be making forward-looking statements, including guidance and underlying assumptions on today's call. Forward-looking statements are based on expectations that involve risks and uncertainties that could cause actual results to differ materially.

For a further discussion of risks related to our business, see our 10-K and subsequent filings with the SEC. This call will contain non-GAAP financial information. Reconciliations to net income are included in the supplemental package furnished to the SEC and available on our website.

Before I turn the call over to Andy, let me offer a few key takeaways from our second quarter. First, we continue to execute within a very favorable demand environment with $164 million of new leasing executed in the quarter, again, marking one of the top quarters in our history, which, together with last quarter's record leasing drove a record first half of the year.

Second, our operating momentum continued through the second quarter as a record level of commencements translated into meaningful improvement in both total and same capital occupancy while cash re-leasing spreads remain firmly positive, and continued growth in cross-connects drove interconnection revenue to a new record in the quarter. And third, through capital recycling and demand-driven equity issuance in the quarter, we reduced our leverage to 5.3x at quarter end, below our long-term target level, helping to position Digital Realty to the opportunity that we continue to see in front of us.

With that, I'd like to turn the call over to our President and CEO, Andy Power.

Andrew P. Power
President, CEO & Director

Thanks, Jordan, and thanks to everyone for joining our call. The momentum we experienced in the first quarter continued in the second quarter. The first half of 2024, our new leasing was up over 100% from the activity we saw in the first half of 2023, with a strong and steady contribution from our 0-1 megawatt plus interconnection segment.

Demand for data center capacity remains as strong as we've ever seen, especially for larger capacity blocks in our core markets. We are well positioned to take advantage of this favorable demand environment, given our track record of execution across 6 continents, a robust land bank and shell capacity that could support 3-plus gigawatts of incremental development, reduced leverage and our growing and diverse array of capital partners.

During the second quarter, we remain focused on our key priorities. We signed $164 million of new leasing in the second quarter, which excluded another $16 million of bookings within one of our newest hyperscale private capital ventures. While bookings in the greater-than-a-megawatt category were once again the primary driver, there was no contribution from our largest hyperscale market, Northern Virginia as Dallas led the way in the second quarter. Importantly, we posted one of our strongest quarters ever in the 0-1

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megawatt plus interconnection segment, with the record new logos and near-record bookings in each of the 0-1 megawatt and interconnection categories.

This leasing strength is a positive reflection of the value that our 5,000 and growing base of customers realize from our full spectrum product strategy. We also delivered strong operating results with 13% data center revenue growth year-over-year pro forma for the capital recycling activity completed over the last year.

In addition, we have enjoyed healthy growth in recurring fee income associated with our new hyperscale ventures. In the first half, fee income was up 26% over the first half of 2023, primarily reflecting the formation of almost $10 billion of institutional private capital ventures over the last year. And we would expect this line item to continue to gather momentum.

With the record commencements in the second quarter and the healthy backlog of favorably priced leases ready to commence in the second half, we are well positioned for accelerating top line and bottom line growth for the remainder of 2024 and into 2025. Subsequent to quarter end, we also strengthened our value proposition in Europe through our entrants into the Slough submarket of London with the acquisition of a densely connected enterprise data center campus, which we expect to be highly complementary to our existing colocation capabilities in the City and the Docklands.

The new campus supports an existing community of more than 150 customers utilizing over 2,000 cross-connects. Consistent with our key priorities, we continue to innovate and integrate as we unveiled our HD Colo 2.0 offering in the second quarter with advanced high-density deployment support for liquid-to-chip cooling across 170 of our data centers globally. In addition, just last week, we announced the deployment of a new Microsoft Azure ExpressRoute Cloud On-Ramp at our Dallas campus, along with the launch of the new Azure ExpressRoute Metro service in the Amsterdam and Zurich market. We also bolstered our balance sheet and significantly diversified our capital sources, availing Digital Realty of more than $10 billion of private capital over the past year through our new hyperscale ventures and noncore dispositions.

During the quarter, we expanded our existing Chicago hyperscale venture with the sale of a 75% interest in CH2, the remaining stabilized data center on our Elk Grove campus. We also sold an additional 24.9% interest in a data center in Frankfurt to Digital Core REIT, increasing their total position in the campus to just under 15%. These 2 transactions together raised over $0.5 billion. Finally, we raised approximately $2 billion of equity since our last earnings call, including the $1.7 billion follow-on offering in early May and proceeds raised under our ATM.

These transactions, together with the others of the past year, have positioned our balance sheet to capitalize on this unique environment and construct the capacity that our customers demand. Artificial intelligence innovation is reshaping the global data center landscape. As new applications are developed and proliferate across industries and around the world, AI is driving the incremental wave of demand for robust computing infrastructure.

According to Gartner, global spending on public cloud services is projected to grow over 20% to reach $675 billion in 2024 and is forecast to grow another 22% in 2025, with AI-related workloads driving a significant portion of this growth. Digital transformation, cloud and AI are fueling demand for data center capacity worldwide.

Traditional data centers were already being pushed to the limits by demand for cloud and digital transformation, where demand for AI-oriented data center infrastructure is being accommodated in upgraded suites in our existing facilities and in newly built facilities. These AI workloads are taking place on specialized hardware with massive parallel processing capabilities and lightning-fast data transfer speeds. Fortunately, Digital Realty's modular data center design can accommodate these evolving requirements. The growth in demand is global.

We're seeing strong demand across our North American metros first, but it is spread and beyond with interest in locations like London, Amsterdam and Paris in EMEA and Singapore and Tokyo in APAC. Our global footprint is well suited to capture this growing demand, whether it be for major cloud service

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providers adding to an availability zone, a major enterprise digitizing their business processes or an AI model being trained or be it -- or put into production.

However, this exponential growth in data center demand is not without its challenges. The environmental impact of these energy-intensive facilities are growing alongside the scaling of user requirements. According to the IEA, data centers consumed almost 2% of global electricity in 2022, a figure that could double by 2026 absent significant efficiency improvements. I will touch on Digital Realty's latest sustainability highlights in a moment. As we look to the future, the interplay between AI advancements and data center evolution will continue to shape the global technology landscape.

IDC predicts that by 2027, worldwide spending on digital transformation will reach nearly $4 trillion driven by AI, further accelerating the demand for data center infrastructure. We believe that the providers who can officially scale their capacity while addressing sustainability concerns, we'll be best positioned to benefit from these 3 key drivers: digital transformation, cloud and AI in the years to come.

Customers and partners are recognizing the value that Digital Realty can bring to their applications around the world. During the second quarter, we added 148 new logos, marking a new quarterly record. A growing number of these new logos are being sourced by our partners who efficiently expand our sales team to reach into enterprises around the world. The wins this quarter include a Global 2000 advanced engineering and research enterprise, developing a private AI sandbox on PlatformDIGITAL to enable experimentation and development by federal agencies and brought to us by one of our large connectivity partners, Lumen Technologies.

Another partner bought in new logo that is an AI-enabled SaaS provider, repatriating all public cloud to save costs and enable growth. That same partner was also assisting 2 large financial institutions to increase their capacity on PlatformDIGITAL in APAC and North America. And yet another example of our growing partnerships, an AI SaaS provider and recognized leader in natural language speech synthesis is growing their commitment to PlatformDIGITAL, with an expansion of current AI workloads where proximity is the driving requirement.

A Global 2000 manufacturer is rearchitecting their network on PlatformDIGITAL, with a regional hub to improve efficiency, lower their network costs and implement controls while eliminating the capital cost of maintaining their own facilities. And 2 leading financial services firms are both leveraging PlatformDIGITAL to extend their respective virtual desktop infrastructure environments to improve performance and user experience across their North American and EMEA employee base.

Before turning it over to Matt, I'd like to touch on our ESG progress during the second quarter. We continue to make meaningful progress on ESG performance. We were recognized by TIME and Statista as one of the world's most sustainable companies of 2024. We also released our annual ESG report in June, highlighting our ongoing efforts to develop and operate responsibly. As described in our ESG report, we further increased our renewable energy supplies with 152 data centers now matched with 100% renewable energy. We improved water efficiency and expand the use of recycled water, which accounted for 43% of our total water consumption last year.

We also launched a new supplier engagement program to drive sustainability and decarbonization through our supply chain. We remain committed to minimizing Digital Realty's impact on the environment while delivering sustainable growth for all of our stakeholders.

With that, I'm pleased to turn the call over to our CFO, Matt Mercier.

Matthew R. Mercier
Chief Financial Officer

Thank you, Andy. Let me jump right into our second quarter results. We signed $164 million of new leases in the second quarter, with 2/3 of that falling into the greater-than-a-megawatt category, the majority of which landed in the Americas, with healthy contributions from both EMEA and APAC. Not to be overlooked, however, with the $40 million of 0-1 megawatt leasing and a standout $14 million of interconnection bookings. Our fourth consecutive quarter exceeding $50 million in our 0-1 megawatt plus interconnection segment.

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Turning to our backlog. We commenced a record $176 million of new leases this quarter, which was largely balanced by the strong second quarter leasing. As such, the $527 million backlog of signed but not yet commenced leases moderated by only 2% from last quarter's peak and remains robust and more than 9% of our total revenue guidance for full year 2024.

Looking ahead, we have over $175 million scheduled to commence through the remainder of this year with over $230 million already scheduled to commence next year. During the second quarter, we signed $215 million of renewal leases at a 4% increase on a cash basis, driving year-to-date renewal spreads to 8.2%. Re-leasing spreads were once again positive across products and regions. Last quarter, we noted that the underlying renewal spread after stripping out 2 outliers was 3.4%. Our cash renewal spreads in the 0-1 megawatt segment were up 3.8% in the second quarter, while the greater-than-a-megawatt segment was up 3.9%.

As a reminder, the 0-1 megawatt segment is the primary driver of our overall re-leasing spreads, given the heavier weighting of lease expirations in this category, which are typically shorter-term leases with inflationary or better escalators. 0-1 megawatt deals renew reliably and predictably making them track closer to market over time, thereby reducing the outsized movements that could come with larger or longer-term lease renewals.

On the greater-than-a-megawatt side, renewals reflected the strong pricing environment with leases renewed at $159 per kilowatt compared to the $133 per kilowatt achieved on greater-than-a-megawatt renewals last quarter. The key difference between the quarters was the rate on the expiring leases. This quarter, leases in this segment expired at $153 per kW, while last quarter's leases expired at an average of $112 per kilowatt.

For the quarter, churn remained low and well controlled at 1.6%, and our largest termination was immediately backfilled at an improved rate. In terms of earnings growth, we reported second quarter core FFO of $1.65 per share, reflecting continued healthy organic operating results, partly balanced by the impact of the meaningful deleveraging and capital raising activity executed over the course of the last year. Revenue growth in the quarter was tempered by the decline in utility expense reimbursements, a comparison that is likely to persist throughout this year, given the decline in electricity rates in EMEA year-over-year, along with the impact of substantial capital recycling activity.

Despite the deleveraging headwinds, rental revenue plus interconnection revenues were up 5% on a combined basis year-over-year. Adjusted EBITDA also increased 5% year-over-year through the first half and remains well on track to meet our 2024 guidance. Pro forma for the capital recycling completed since last July, rental plus interconnection revenue and adjusted EBITDA grew by 13% and 14% year-over-year, respectively, in the second quarter.

Stabilized same capital operating performance saw continued growth in the second quarter, with year-over-year cash NOI up 2% as 3.6% growth in data center revenue was offset by a catch-up in rental property operating costs, which were flat last quarter. Year-to-date, same capital cash NOI has increased by 3.5%. We have previously highlighted same capital NOI growth is expected to be impacted by nearly 200 basis points of power margin headwinds year-over-year, given the elevated utility prices in EMEA in 2023.

Moving on to our investment activity. We spent $532 million on consolidated development in the second quarter plus another $90 million for our share of unconsolidated JV spending. We delivered 72 megawatts of new capacity across the globe for our customers in the quarter, while we backfilled the pipeline with 71 megawatts of new starts. Blended average yield on our overall development pipeline moderated 20 basis points sequentially to 10.4% as a result of a market mix shift of completions and starts in North America during the quarter. In the first half of the year, we spent a bit over $1 billion in development CapEx, tracking closely towards our full year guidance as the second half should see a ramp from newly commenced projects along with the typical seasonal uplift.

Turning to the balance sheet. We continue to strengthen our balance sheet in the second quarter. With the closing of the 2 transactions in April that we disclosed during last quarter's earnings report and was referenced earlier by Andy, together, these 2 transactions raised just over $500 million of gross proceeds.

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Additionally, since our last earnings report, we sold 14.7 million shares, including a 12.1 million share follow-on offering in early May and incremental ATM issuance raising $2 billion of net proceeds while using cash on hand to pay off a EUR 600 million bond that matured in April and a GBP 250 million bond that matured last Friday. At the end of the second quarter, we had more than $4 billion of total liquidity, and our net debt-to-EBITDA ratio fell to 5.3x, which is below our long-term target.

Moving on to our debt profile. Our weighted average debt maturity is over 4 years and our weighted average interest rate is 2.9%, approximately 84% of our debt is non-U.S. dollar denominated, reflecting the growth of our global platform and our FX hedging strategy. Approximately 86% of our net debt is fixed rate and 96% of our debt is unsecured, providing ample flexibility for capital recycling.

Finally, after paying off the Euro notes in April and Sterling notes last week, we have 0 remaining debt maturities through year-end. Beyond that, our maturities remain well laddered through 2032.

Let me conclude with our guidance. We are maintaining our core FFO guidance range for the full year of 2024 of $6.60 to $6.75 per share, reflecting the continued strength in our core business, partly balanced by the front half weighted capital recycling and funding activity, which helped to reduce our reported leverage by a full turn to better position the company to fund development in 2024 and beyond.

We are also maintaining our total revenue and adjusted EBITDA guidance ranges for 2024 as well as the operating, investing and financing expectations that we previously provided. Looking forward to the balance of 2024, core FFO per share remains poised to increase in the second half as the backlog commences and the impact of prior deleveraging moderates.
This concludes our prepared remarks. And now we will be pleased to take your questions. Operator, would you please begin the Q&A session?

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Question and Answer

Operator

[Operator Instructions] Your first question comes from Richard Choe with JPMorgan.

Yong Choe
JPMorgan Chase & Co, Research Division

I wanted to ask about the long-term pipeline you're seeing for the over 1 megawatt category. I think there's some concerns that right now, we might be in a kind of pull forward or kind of elevated cycle. And just wanted to get your sense of how far out this pipeline of deals that you're looking at and the current environment could last?

Andrew P. Power
President, CEO & Director

Thanks, Richard. So I would say in the greater than megawatt category, we're seeing a continuation of the trends we've been playing out for the last several quarters. The biggest customers are desiring, one, contiguous capacity blocks that are very large; two, they want it right now or as soon as possible; and three, the desire of fungible markets, i.e., markets where they can service certainly GenAI workloads, training with multiple inference but also if they miss the measure, they can support their cloud computing needs as well. So we have not seen the pedal ease in terms of the demand for those attributes in the market.

Operator

The next question comes from Irvin Liu with Evercore ISI.

Jyhhaw Liu
Evercore ISI Institutional Equities, Research Division

So I wanted to double-click on renewal rates. I guess a couple of items stood out. One in the Americas, the $146 per kilowatt monthly rate for the greater-than-1-megawatt segment. That marked a sequential decline. Similarly, we've seen rates on new leases declined sequentially as well. So can you help us understand what's driving the sequential declines versus a quarter ago? Was this step down mostly a function of markets and mix? Or were there other sort of industry dynamics that we should be thinking about?

Andrew P. Power
President, CEO & Director

Thanks, Irvin. So I think the one deal or the one market you were pointing to is just the North America greater than a megawatt, now it's just a mix of composition of deals. This quarter, in particular, Dallas market really led the way. It's had outside strength. And this is actually a quarter where we didn't actually have any signings into our Northern Virginia market, with not a lack of demand for that market. And we still have some great options for customers available on large capacity blocks in 2 parts of that market.

But we just didn't have anything this particular quarter. So if you look more broadly, I think almost all the other, call it, regions in both segments had an uptick in rates. And that's always on apples to apples but the mix in the region could be different metros like that one example I just gave you, but that would be only outliers the one I've discussed.

Operator

Your next question comes from Michael Rollins with Citi.

Michael Ian Rollins
Citigroup Inc., Research Division

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Curious if you could talk about some of the ideas that you shared in the past around working on ways to participate in private capital recycling, whether it's trying to establish mechanisms to be able to react to when some of your private capital partners are going to hit their kind of maturity dates of those investments, what to do with those as well as maybe other opportunities in the category where there's private investments in other data center assets?

Andrew P. Power
President, CEO & Director

Thanks, Michael. Maybe I'll kick off and then Greg can expand upon this. So this topic is not new. I think we've embarked on this journey at least 18 -- or at least 1.5 years ago and made great progress, call it, accumulating north of $10 billion of, call it, hyperscale private ventures, the numerous parties. You've seen that a few places, which we called out in the prepared remarks, we've seen our fee revenue having a step up on a recurring revenue basis in the P&L.

Two, you've seen that in the balance sheet. Those private capital initiatives have obviously certainly moved our balance sheet from a defensive posture to an offensive posture and allow us to now pull forward some of these great projects in our land bank that's north of 3 gigawatts of runway growth for our customers. And maybe I'll have Greg just give you a slightest preview of what's next in that evolution when it comes to our private strategic private account initiatives.

Gregory S. Wright
Chief Investment Officer

Yes. Thanks, Andy. Thanks for the question, Michael. I think first thing I would say is consistent with, as Andy said, we laid out a year ago, January, we're going to continue to bolster and diversify these private capital sources, and that's just what we're doing. As we said, we did a lot of transactions over the last 18 months. We're continuing to evolve that strategy. And when we have something to report, we will.

I think it's important to note that the importance of that capital because if you take a look at the demand profile for the business right now, the hyperscale business in of itself between now and 2030 is expected to grow almost 3x. And that includes AI hyperscale and non-AI hyperscale. So look, we think that the strategy that Andy laid out and that we embarked upon was the right strategy. But we're not done yet. And as we said, it's continuing to evolve. And when we have something to report on that front, we'll tell you.

Operator

Your next question comes from Jon Atkin with RBC.

Jonathan Atkin
RBC Capital Markets, Research Division

I wonder about kind of the speed at which you can kind of deliver on your new starts that you've commenced recently, supply chain, access to energy, access to heavy equipment and so forth. Any kind of color there?

Andrew P. Power
President, CEO & Director

Thanks, Jon. So I mean, we are -- you almost think it was with our continuous conveyor belt of trying to deliver time to product for the customers' needs. That's certainly playing out in our enterprise colocation markets and now playing more than ever on the larger capacity blocks. This quarter, the book to signed and commenced was elongated to about to 20-ish months. That was based on one particular customer that we serviced and they had a very location-sensitive need than a radius restriction and only the thing will be having that radius with [Atlanta] state, likely it was on a campus where we own the land and we're ready to get moving on. So that obviously elongated the, call it, delivery time line for that particular surrounding.

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We excluded that, we were basically called signed and commencing like 4.5-type months. So we're continuously obviously delivering capacity and adding new capacity and whether it's from land to sales, [sales active] suites and making sure we're maintaining our production slots and vendor relationships for that time of delivery in our 30-plus metros around the world.

Operator

The next question comes from Jon Petersen with Jefferies.

Jonathan Michael Petersen
Jefferies LLC, Research Division

I was hoping you could talk about some of the larger greater-than-1-megawatt lease expirations that are coming up in the coming quarters. How many of those have fixed renewal options and how much can be mark-to-market rents? And if I can sneak in a follow-up question. I think there's a $168 million impairment in the income statement. Just curious what that is related to.

Matthew R. Mercier
Chief Financial Officer

Sure. Thanks, Jonathan. So in terms of lease expirations, so what I'd say is less than half of our greater-than-a-megawatt leases have options we call it [fixed increases, all in]. But I would call that significantly less than that are typically renewed pursuant to those options. And that's generally for a few reasons. One, our customers must provide us notice of renewal within the proper period. That doesn't always happen. Two, renewals must come, in essence, without any changes.

So if there's any additional space, term, anything changes that opens up the contract. I think as we've talked about in the past. And third, some of those customers also end up churning. So that all gives us an ability to be able to bring those contracts to market for the majority of what ends up rolling within a given period.

On your second point on impairment, yes, we did have impairment associated with a few of our noncore assets, which are part of our disposition plans, and those are all located in the secondary market. And I'd also put that in context to the fact that we've generated probably close to I think over $1.3 billion of gains from the capital recycling efforts that we've done over the last year.

Operator

Your next question comes from Aryeh Klein with BMO Capital Markets.

Aryeh Klein
BMO Capital Markets Equity Research

I guess some of the comments on the pipeline coming off 2 very strong quarters of leasing and with the development pipeline, 66% leased, including 80% in the Americas, how should we expect CapEx to trend from here? And then what's your appetite to add new domestic markets given what seems like broadening of demand?

Andrew P. Power
President, CEO & Director

Why don't I first let Colin just speak to the pipeline overall, and then can kind of talk about little bit of the development side of that as well as new markets.

Colin McLean
Chief Revenue Officer

Thanks, Aryeh. I appreciate the question. Andy highlighted [greater-than-1-megawatt] pipeline overall from megawatts to trending positively below 1 megawatt, which we deem as important as heading in the right direction as well, record pipeline driven from digital transformation, cloud and AI. You saw that trending positively in our results both directly and indirectly. Indirect execution has picked up via last

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quarter, and we're now 23% of our pipeline being indirect, which we think is a positive sign to value proposition there.

One of the things that Andy highlighted is the key value of metros with the demand cycle. We're seeing enterprises and hyperscalers like see real value in proximity and the metro play that we have in key metrics across the globe and particularly important. Finally, the ability both for enterprises and hyperscalers to grow and scale and capacities of [keen value] really across the spectrum of low and above a megawatt.

Andrew P. Power
President, CEO & Director

Then Aryeh on the second part of your question, honestly, we remain very focused on our core markets, north of 50 of them around the world, nearly 30 countries on 6 continents. Those markets, we continuously see the robust and diverse customer demand, talking cloud compute from numerous CSPs, enterprise, hybrid IT and service providers and markets where we see really long-term barriers. And to be speaking to our actions on those sizable piece of our activation in shells moving from our 3-plus gigawatt land bank into shell and ultimately, to be delivered in suites is all in those same core markets.

Operator

Your next question comes from David Barden with Bank of America.

David William Barden
BofA Securities, Research Division

So I guess two, if I could, Andy, I guess, last quarter, you talked about how 50% of these record bookings were roughly 50% were AI-related. It obviously stepped down sequentially. But to your point about the lengthening of the delivery period, it seems like there's still some very large customers in what was the new leasing number this quarter. Could you kind of revisit on an apples-and-apples basis, how 2Q unfolded versus 1Q from an AI versus non-AI type of new leasing pattern? And how do we think about this? Is there going to be a seasonality to this sort of thing? That would be kind of my first question.

And then the second question is, I was just going back to 2019, you guys generated $6.65 of core FFO, which is kind of what you're guiding to for 2024. And I know that you've laid out a hope that there will be growth, more meaningful growth in the forward-looking periods. Also, you said that your balance sheet is now less in a defensive and more in an offensive position and historically, when you've been offensive, it's meant dilution to secure future growth opportunities. So I was wondering if you could kind of, Andy, revisit the bull case for growth to take all these great things that are happening at the top line and turn it into bottom line growth.

Andrew P. Power
President, CEO & Director

Thanks, Dave. So I would say, close to apples-to-apples from a 50% contribution last quarter to this quarter is probably closer [to a quarter of our signings], we would say we would pin on AI use cases. But I would caveat that in a few ways.

One, that's in a quarter, that's not a record quarter, but I think the top 4 quarter overall signings, great contribution, both 0-1 and plus 1 megawatt as well as a near record in interconnection signings. And that means we're still winning with the traditional demand drivers, digital transformation, cloud computing, and the like, that, that demand has not nearly exhaust itself or playdown. I would also say that there was certainly a deal that I didn't count in the category of AI that is certainly pushing the envelope on power density and [posting drawing] already thinking about evolving that capacity block or signed with them in towards what will ultimately be supporting AI down the road is my guess, which I think speaks to the modularity of our design and how we're able to scale infrastructure to the demands of our customers as they need it.

The second part of your question, first off, I don't want to confuse the word offense with M&A. I think we've not done any real M&A or external growth for several years now. You can maybe say the resolution

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of the Cyxtera relationship, but that was, I think, making lemonade out of lemons more than anything. And when I used the word offense, I mean that's converting this 3-plus gigawatt land bank which we've assembled over the years, i.e., we didn't just go buy that yesterday and turning that into a great product for our customers to land and expand and great returns on our investment. And you've been seeing that play out now with our ROI development schedule crescendoing into the double digits. You've seen that in the pricing power. You're seeing our value proposition really resonate in all of our customer segments across our core markets.

And lastly, our eyes on the prize of accelerating bottom line. That's where we've reoriented our strategy 18 months ago, value proposition, integrated innovating, bolstering and diversifying our capital sources. And all those things were about called, making sure we're driving per share, FFO per share growth that's accelerating, and it's going to be continuous and compounding for years to come. So there's been no divergence in that conviction of what comes next for the rest of 2024 and what we said about 2025 next year.

Operator

Next question comes from Eric Luebchow with Wells Fargo.

Eric Thomas Luebchow
Wells Fargo Securities, LLC, Research Division

Andy, could you maybe comment on what type of market rent growth you're seeing right now in some of your key metros on an apples-to-apples basis relative to last year, whether that's continue to evolve as this year has progressed. And then as you look out into the future, do you see an opportunity for market rent growth to continue to outstrip your development costs and we could see the kind of 10% to 12% development yields you have in your pipeline move even higher?

Andrew P. Power
President, CEO & Director

Thanks, Eric. I mean I would [couch] that market rent growth is continuing to move in our favor. You've seen 2 elements happening, the most precious capacity blocks in the key markets like in Northern Virginia continue to set new records in terms of rates. And you've also seen a catch-up phenomenon where other markets in North America or outside of the U.S. were catching up a fair bit in terms of their trajectory of growth.

I look at this, you've got -- these waves of demand, be it cloud computing, digital transformation, hybrid IT and now AI that are just getting going in some of these. They're large and dynamic that is happening and it's supply-constrained backdrop from numerous avenues of supply constraint. And those elements are ultimately resulting in the increases in rates that we've been able to execute on for several quarters. And then I believe there will be quarters to come. And I also believe they will likely outstrip the whatever inflationary costs we see in terms of build costs and at least maintain these ROIs if not continue to notch up slightly higher.

Operator

The next question comes from Jim Schneider with Goldman Sachs.

James Schneider

On the topic of power constraints and supply environment, you see relative to transmission, with the time horizon, let's say, 12 to 18 months, do you think the outlook for power availability is getting more constrained, less constrained or staying about the same relative to new projects you have either under development or contemplating?

Andrew P. Power
President, CEO & Director

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Jim, I think that there's a few phenomenons happening. One, you're -- we're getting -- I mean, some of these constraints popped up now or years in a rearview mirror. And we're obviously inching our way close to destinations of resolutions be it in Northern Virginia, which I think 2026 is supposedly a [bogey] in Santa Clara and there's other non-U.S. markets as well.

At the same time, as we approached the power constraints, there's obviously a good potential that the delivery dates may not deliver on time. These are multifaceted projects that require easement, substations, construction projects. At the same time, the demand can stand still while the power was constrained.

Second one that I think you're seeing is this becoming a more pervasive topic. It was very focused on 1 [health center of the universe] market with Northern Virginia, and we're hearing more and more about other markets. And lastly, I wouldn't pin it just on power. Yes, the power has got broader generation issues in an economy that we're trying to green. It's got transmission issues that navigate municipalities and substation deliveries and transmission lines coming through the backyards of folks that rather not have them not there. But there are also other elements of sustainability concerns, moratoriums in certain parts of the world.

And so I think that this is a multifaceted supply constraint, which I would also mention that even if it does get fixed, it has a propensity that history could repeat itself here. So I think this is going to make our value proposition with what we deliver to our customers even more compelling and valuable at the end of the day.

Operator

Next question comes from Vikram Malhotra with Mizuho.

Vikram L. Malhotra
Mizuho Securities USA LLC, Research Division

I guess just bigger picture, you've talked about leasing spreads in greater than 1 megawatt improving over time given the differential of what's expiring versus, I guess, market, but you also referenced market rent growth improving quite a bit. So with that and just some recent comments from hyperscalers, just talking about the risk of oversupply or just too much CapEx. Can you sort of just frame the near-term opportunity set in the greater than 1 megawatt from maybe bookings but more so pricing standpoint versus the puts and takes over time just from a demand supply. I'm just wondering, is there a risk that you see the spreads theoretically improve, but there's a lot of supply coming down the pike.

Andrew P. Power
President, CEO & Director

I'll take maybe the second part of your question. I guess, Matt can comment on our outlook on leasing spreads, really kind of talked about the stair step in our exploration schedule, which does, call it, become even more attractive in this coming years. I think, Vikram, I think the heart of your second question is the broader AI it seemed question you're hearing more on the mainstream media of is AI over dialing? Is this a bubble? What could come next?

I think some of that is not necessarily 100% [to remain] to what we're seeing. And the reason one say that is, in our business, when it comes to AI, we are signing long-term contracts or blocking 15 years with some of the largest, most established technology companies ever. Two, and I mentioned before, we're doing that. We're not chasing this out to unproven territories. We're focused on core markets with robust and diverse customer demand where traditional use cases being cloud computing from numerous CSPs, enterprise, hybrid IT and service provider demand are continuing to grow over time even if the AI has peaks and valleys. And we're doing it in markets that we believe are real long-term supply constraints. And lastly, all this is happening probably in the most supply-constrained moment in the last 20 years of data centers.

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So I don't -- I'm not sure or convinced that even if AI takes a breather on its long-term innovation and trajectory, I think that volatility, we are somewhat insulated in our sector from that volatility based on how we're pursuing it. But Matt, why don't you hit on the leasing expiration.

Matthew R. Mercier
Chief Financial Officer

Sure. So what -- look, what I call is, if you look at the greater-than-a-megawatt leases that are expiring, call it, the next 18 months, the rate -- the average rate on that has been the 140 to 145 area. But then it steps down pretty gradually to as low as 111 by the time you get to 2029. And so I think you're going to see a continued positive trajectory on our re-leasing spreads not only in greater-than-a-megawatt category, but I think also across all categories.

So I think it also revolved within our 0-1 spreads have been positive. I think throughout our history, those are typically more regular, steady inflationary type increases or better. So I think this puts us, I think, in a good position, continuing where market rates are, where some of the supply constraints are to where we'll see market rates now continue to remain positive and grow and continue to accrue benefits to our re-leasing spreads as we go through time.

Operator

Your next question comes from Frank Louthan with Raymond James.

Frank Garrett Louthan
Raymond James & Associates, Inc., Research Division

So in talking before, you've mentioned you're prioritizing retail colo over hyperscale. How should we think about that practically and kind of track that? Is that part of the reason the sub megawatt bookings have remained a little bit elevated? How should we think about that trend going forward?

Andrew P. Power
President, CEO & Director

Colin, why don't you -- that's a great question because we're obviously spending a lot of time with the bigger deals right now. But Colin, why don't you walk through on the highlights of the quarter.

Colin McLean
Chief Revenue Officer

Thanks for the question. I'm not sure I'd use the word prioritize. We definitely want to emphasize a full platform that have an offering set. So as highlighted in Andy's opening remarks, performance in Q2 was particularly strong on the 0-1 4th consecutive quarter over 50 million, which I think was -- which is also the third highest ever from 0-1. We think this consistency is really driven from our ability to serve the full spectrum of requirements for our enterprises and service providers across the Global 5000 focus of customers, and new logos are also pretty strong as well, most solid ever in terms of 148 with 40% coming from on the indirect side. Channel also, which I had earlier was a particular strong point with over 20% booking contribution from the indirect side, overall. So we view this segment as continuing our value proposition out to our client set.

And a lot of the driver Andy talked about around digital transformation, cloud and AI are also playing out in 0-1 segment across enterprises and service providers. And Andy highlighted a couple of the key wins on opening remarks, namely Fortune 500 client -- Fortune 5000 clients, excuse me, offering their virtual desktop requirements and the global manufacturing win we have on the enterprise side. I also want to highlight the particular highlight of the Microsoft ExpressRoute launch into Dallas, which you feel like is a really strong representation of our platform.

Operator

Your next question comes from Michael Elias with TD Cowen.

Michael Elias

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TD Cowen, Research Division

Andy, in the past, you've talked about CapEx being an accordion that you expand and contract to the end of solving for consistent bottom line growth. So as I'm thinking about it, given the leasing success that you've had over the last 2 quarters and also as part of that, like the market opportunity in both hyperscale and enterprise is now the time to be expanding that accordion and really hitting the gas on CapEx. And If so, I just want to be clear, what is the explicit FFO per share growth that you guys are solving for as part of that algorithm?

Andrew P. Power
President, CEO & Director

Thanks, Michael. Just to clarify, I wouldn't say CapEx is the [indiscernible], I think it's how we fund it, which I think is the same concept, you're outlining your question. The CapEx intensity, it's being pulled forward, right? You talked about this [creating] more shell capacity, ultimately, suites in a highly leased, pre-leased development pipeline at very attractive returns.

So we're seeing the CapEx intensity increase. We're intersecting at great rates, great returns for our business supporting great customers in numerous markets. And we've now positioned ourselves and a balance sheet position of greater strength not only just from our leverage standpoint but from our liquidity and our diverse sources of capital. And what we're trying to do is, essentially, use the levers of using our public capital and our private capital to get back to, call it, mid-single digits [indiscernible] growth next year and then further acceleration on top of that and do that in a consistent year method of compounding that growth for numerous years to come. So it's really those levers of using public and private capital to drive that bottom line to new levels and on a consistent framework.

Operator

Your next question comes from David Guarino with Green Street.

David Anthony Guarino
Green Street Advisors, LLC, Research Division

I appreciate the industry statistics you guys included in your investor presentation. And I wanted to ask specifically about the declining global vacancy you highlighted, which is around 6%. But when I look at your stabilized portfolio, the vacancy level is about 3x higher than that. So I guess, first, why is it so much higher? And then second, given the record demand we're seeing across the industry, how long do you think it's going to take before Digital's portfolio resembles to have more like the industry is?

Andrew P. Power
President, CEO & Director

You got to remember that our portfolio is not all just call it hyperscale. And the hyperscale portion of this business can literally be 100% leased in many buildings or markets, right? And my gut is that chart, which I think data center [walk], which they do the best they can is very much about more of a hyperscale lens. I was actually pretty pleased on the occupancy front. We're up to 100 basis points in the same-store occupancy quarter-over-quarter. And we have a big same-store pool.

It's not nothing. We're also actively taking it one step backward, sometimes an occupancy to take 2, 3, 4 steps forward when vacant suites come back in scale, and we convert those to colo and be able to support our customers' colo growth as well. So this is the year we said that with occupancy, we're going to be moving the needle, and we have been moving the needle. We got more to do in that arena. So I think you're going to see it move up. And if you look at -- you can also look to get a number of apples to apples. If you look at their occupancy, and we show by markets, there are certain markets way less than [60%] vacancy that are just very much heavily weighted towards or hyperscale business, they just have a much smaller colo like Northern Virginia, if you parse through it, especially on a megawatt basis, I wish I had that type of vacancy to [sell that we're running] now, and we just don't.

Operator

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Your next question comes from Matt Niknam with Deutsche Bank.

Matthew Niknam
Deutsche Bank AG, Research Division

I have 2 follow-ups. First, on the colo side, so you cited the record new logos, 148, this quarter. I'm just wondering from a macro perspective, any change in terms of macro impacts across different customer sizes within that sub-1 megawatt base? And then secondly, you talked about leverage getting back under 5.5 turns, the prospect of improving bottom line growth next year. How do you think about the dividend and the potential for forward growth in the dividend relative to some potential incremental investments in the business?

Andrew P. Power
President, CEO & Director

Matthew, the dividend question first and Colin and I can handle a little bit overseeing the enterprise demand piece of the puzzle.

Matthew R. Mercier
Chief Financial Officer

Yes, sure. So thanks, Matt. So in terms of the dividend, Look, I think it's back to kind of what we've said historically. I think we've got a unique opportunity here to take advantage of what we see as tremendous growth opportunity throughout our global portfolio. One of the easiest and cheapest forms of capital within that is internally generated funds. And so we continue to look to try to maximize our cash flow as part of our funding strategy on that front. And on top of that, I think as we've also mentioned throughout this call, we're keenly focused on growing the bottom line and accelerating that growth in outer years. So as we grow the bottom line, which is going to benefit and accrue benefits to only core FFO, but then down to AFFO, we then look to keep our dividend growth in line with that bottom line per share growth as well.

Colin McLean
Chief Revenue Officer

Agree. On the new logo question, a couple of trends, just maybe to highlight in that question. So first, we really believe it's in the hybrid world. So we're seeing that continued trend in the new logo base. Hybrid work cloud data that are new logo requirements really served well across our global platform. Number two is the mix of that 140 was very much split between commercial and Global 5000 accounts. So we're seeing continued interest in the platform across the larger customers who buy with more frequency and the smaller in the spectrum. Not sure that we can necessarily point to a growing density in that particular base of clients yet or capacity, but I can tell you this particular base of clients sees real value, as I mentioned, in our global platform which really serves well across their requirements.

Andrew P. Power
President, CEO & Director

And just one, Chris, why don't you just chime in with the early reads on the HD Colo 2.0, I would say, an uptick in the enterprise segment.

Christopher Sharp
Chief Technology Officer

No. I think I agree with you, Andy, on the macro trend of what we're doing with HD colos, just really aligning the right capability to cool some of these higher power density requirements coming into the market. And so we see a lot of the capabilities that we brought in across the 170 facilities. We can execute the higher density solutions in 12 weeks or less. And I think what's interesting about that is the capacity blocks are getting larger, but like the capabilities that customers are trying to bring to market are definitely challenging for a lot of your traditional colo offerings where we've really started to see that come to market about 6 to 7 months ago. And so we've been able to preprocure a lot of these capabilities to get ahead of that challenge. But just kind of current rack densities in the market today are 6 to 8 kilowatts.

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And I think one of the things I think you're really hitting on is like, what are some of these new requirements coming in? And so health care we're seeing 10 kilowatts a rack, the gaming, you're seeing 15 kilowatts a rack just last quarter. So the AI software capabilities 40 kilowatts. But at the end of the day, we can meet a customer requirement of 150 kilowatts, so we have a lot of runway with that. And to put a little context to it, in the most recent state-of-the-art NVIDIA GT200, we can support that requirement in an under 12-week fashion with our current HD colo offerings. So definitely seeing a lot of growth in that market.

Operator

The next question comes from Anthony Hau with Truist Securities.

Anthony Hau
Truist Securities, Inc., Research Division

I noticed that the [way] average commencement period for new leases are 20 months away, I'm assuming most of these leases are probably for 2026 deliveries. But are customers looking to sign leases toward 2027? If they are, what type of customers are looking to take up space this far out?

Andrew P. Power
President, CEO & Director

I mean customers are, especially when it comes to larger capacity blocks, they're really trying to future-proof and that's where our 3 gigawatts of growth comes in handy. So they certainly -- the nearest term deliveries are precious but I think in years ahead. Now that particular example, as I mentioned, the 20 months was elongated because that customer -- one particular customer had very much their eyesight on a particular market and then [indiscernible] restrictions about where they could grow and where we can support their growth, we're literally laying up capacity. So that we were able to do deliver as fast as we could, but certainly elongated, excluding that one outlier, we were close to 4.5 months. And I think you -- I wouldn't count on those outliers consistently. Probably, it will be more sporadic.

Operator

The next question comes from Brandon Nispel with KeyBanc Capital Markets.

Brandon Lee Nispel
KeyBanc Capital Markets Inc., Research Division

Question for Matt. Can you talk about not updating the guidance at all? Maybe there's some moving pieces from FX and the recent acquisition that you called out. Just as I was looking at it, if you look at the first half of the year and annualize it, revenue really needs to accelerate while adjusted EBITDA would need to be backward, actually to hit the midpoint of your guidance. So the question is, is it maybe that FFO guidance as conservative? Or are there some uncertainty in terms of timing of commencement, unusual expenses? Hoping you could just unpack that for us.

Matthew R. Mercier
Chief Financial Officer

Sure. I don't -- look, there's -- I would -- again, I'd probably focus kind of on the bottom line. If you look at where we are halfway through the year, we're a little less than halfway through the midpoint of our core FFO guidance, and we talked about -- we expected this quarter would be -- would have a little bit of pressure because of the capital recycling efforts that we've concluded with closing CH2 and having the related income from that come out this quarter. And so look, what we're going to see is in the second half growth, we're expecting to improve and accelerate as the backlog of deals and signings come online as we expect as we haven't changed the guidance, we've obviously given a wide range. But if you look at, I think, where we are this year and the expectations for accelerating in the back half, which I think will set us up very nicely for 2025. We feel pretty good about the midpoint of guidance and being able to achieve that.

Operator

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That concludes the Q&A portion of today's call. I'd like to now turn the call back over to President and CEO, Andy Power for closing remarks. Andy, please go ahead.

Andrew P. Power
President, CEO & Director

Thank you. Digital Realty posted another strong quarter in 2Q with record leasing in the first half, demonstrating how Digital Realty is positioned to support the elevated level of demand we continue to see for data center infrastructure. Fundamental strength continued through the second quarter with robust leasing volume, healthy pricing and record commencements poised to drive an acceleration in bottom line growth.

We continue to innovate and integrate with the rollout of HD Colo 2.0 and the addition of new Cloud On-Ramps to PlatformDIGITAL in the quarter. And we have repositioned the balance sheet by recycling capital out of stabilized access, diversifying our capital sources and reducing our leverage. All of this was done with an eye towards improving our growth profile while supporting our customers' growing needs.

We are excited about this quarter's results, and we remain optimistic about the outlook for data center demand and our position in the market. I'd like to thank everyone for joining us today and would like to thank our dedicated and exceptional team at Digital Realty who keep the digital world turning. Thank you.

Operator
The conference has now concluded. Thank you for joining today's presentation. You may now disconnect.

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